“Is the House Treated Differently From the Savings?”

Questions families ask about a parent's home and assets when planning ahead, answered in general terms.

Dad is fine, and the questions come up anyway, usually as the dishes are being cleared: what about the house, what about his savings, who would we even ask? These are questions families planning ahead ask, answered in general terms.

None of the answers is about Dad in particular. Where a question needs someone who knows his state and his situation, the answer says who to ask.

1 Is the house treated differently from the savings?

It may be. A home, savings, retirement accounts and insurance may not all be treated the same way under Medicaid rules, and how each is treated depends on the state and on the facts: who owns it, who lives in the house, whether Dad is married. Medicaid's rules are based on federal requirements, but states have considerable leeway, so eligibility rules vary from state to state. That is why a list from a website, or from a neighbor whose mother lived somewhere else, may not describe Dad's state. [1]

> **ASK A PROFESSIONAL WHEN** you want to know how a particular thing Dad owns would be treated. That takes someone who knows his state, such as your Medicaid planner.

2 What can a parent keep?

There isn't one list, and this page can't give you Dad's. You'll hear the words countable and exempt: a countable asset is one whose value is counted in determining financial eligibility for Medicaid, and an exempt one isn't counted. Which of Dad's things would fall on which side depends on his state and his situation. If he is married, federal law also has provisions under which a certain amount of a couple's combined resources is protected for the spouse who is still living at home. [2] [3]

> **ASK A PROFESSIONAL WHEN** you find yourself sorting Dad's list into “safe” and “not safe.” Bring the list unsorted to your Medicaid planner, and let the sorting be theirs.

3 Can Medicaid take Dad's house?

This is usually two questions. One is how a home is looked at if a person applies, which depends on the state, on who owns the home and on who lives in it. The other is estate recovery: under certain circumstances, the National Council on Aging explains, Medicaid can seek repayment of some costs for services after a recipient dies. Justice in Aging notes that it occurs only after the recipient's death and is limited to that person's estate, and states are required to have procedures for waiving it when recovery would cause an undue hardship. What any of that would mean for Dad's house depends on his state and the facts. [4] [5] [6]

> **ASK A PROFESSIONAL WHEN** you want to know how either question would apply to Dad's house. That is one for an elder law attorney who knows his state.

4 What happens to protected assets after a parent receives Medicaid?

That is the “later” question, and it is a separate one from qualifying. If a person receives Medicaid coverage for long-term care services, federal law requires states to recover the amount Medicaid spent from the person's estate after death, and the amount recovered cannot be greater than what Medicaid contributed to the person's care. So how something was looked at when a person applied doesn't by itself settle the later question. Dad hasn't applied for anything, so for now this is one to keep on the list. [7] [2] [5]

> **ASK A PROFESSIONAL WHEN** you want to know what estate recovery looks like in Dad's state. Take that to an elder law attorney.

5 Dad doesn't need care. Isn't it early to be asking?

It's a fine time to ask, and nothing has to be decided. Planning ahead at this step means a dated list of what Dad owns, a note of how each thing is owned, and the questions you'd want answered before anyone changes anything. The federal long-term care site says that consulting an elder law attorney can be the first step in the advance care planning process. [8]

> **ASK A PROFESSIONAL WHEN** the family starts talking about changing something: a name on an account, the deed, a gift.

6 Should we put the house in the kids' names, or add one of us to Dad's account?

That is a legal and financial decision, and this page can't weigh it for you. What a general source can say is this: the Consumer Financial Protection Bureau's guide for homeowners says it is a good idea to talk to a lawyer about the liability and tax implications before adding children to the title of a home, and that the timing of when a home is sold or given away may affect Medicaid eligibility. The bureau also explains that in a joint account the money is jointly owned, and the joint account holder automatically gets it when the other owner dies. [9] [10]

> **ASK A PROFESSIONAL WHEN** anyone in the family is considering a change like this. Write it down as a question, with who suggested it and why, and take it to an elder law attorney with Dad in the conversation.

7 Someone offered Dad a product they called “Medicaid safe.” Is it?

This page can't say, and a label can't either. Whether any product or arrangement does what is claimed for it depends on the state's rules and on Dad's facts. The Consumer Financial Protection Bureau notes that not all titles and credentials for senior financial planning are the same, that a family can ask an adviser to put any conflicts of interest and the fees in writing, and that good advisers won't rush you. Its guide for homeowners calls trusts complex legal arrangements and advises speaking with a financial professional or an attorney before making any decisions. [11] [9]

> **ASK A PROFESSIONAL WHEN** Dad is asked to buy or sign something. Write down who offered it, their title and what exactly was proposed, and take that to an elder law attorney or a licensed financial professional.

8 Who do we actually ask?

It depends on the question, which is why it helps to write them down. Your Medicaid planner reviews a family's list of what a parent owns and how each thing is owned, and identifies the legal and financial questions that need review. Legal questions, including estate planning and estate recovery, go to an elder law attorney, a lawyer the federal long-term care site describes as dealing daily with the issues surrounding old age; questions about a financial product go to a licensed financial professional. For how to qualify for Medicaid in a given state, the same site names the State Medical Assistance office as the best source of information. [8] [1]

> **ASK A PROFESSIONAL WHEN** you can't tell which kind of question you have. Start with your Medicaid planner.

9 What should we be writing down in the meantime?

What Dad owns, with today's date at the top. Whose name is on each thing and who the named beneficiaries are, with “not sure” wherever you don't know. Any change the family has talked about, as a question. And the events you'd agree are the moment to take the list out again: a change in health, a move, a sale of property, a death in the family. Write what is, not what you think it means.

> **ASK A PROFESSIONAL WHEN** the list is as complete as you can make it, or one of those events happens.

What this guide doesn't do

It doesn't answer any question about Dad himself. Anything that depends on his state, his property or his family needs a professional who knows them. Nothing here is legal, financial or tax advice.

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WHERE THIS COMES FROM

1. Administration for Community Living (LongTermCare information), Medicaid
2. Administration for Community Living (LongTermCare information), Glossary
3. Medicaid.gov (Centers for Medicare & Medicaid Services), Spousal Impoverishment
4. National Council on Aging, What Is Medicaid Estate Recovery? And How Does It Work?
5. Justice in Aging, Mitigating the Harmful Effects of Medicaid Estate Recovery: Strategies for State Advocates
6. Medicaid.gov (Centers for Medicare & Medicaid Services), Estate Recovery
7. Administration for Community Living (LongTermCare information), Medicaid Estate Recovery
8. Administration for Community Living (LongTermCare information), Will I Need a Lawyer?
9. Consumer Financial Protection Bureau, Leaving your home to children or heirs (Older Americans Housing Guide)
10. Consumer Financial Protection Bureau, Considering a financial caregiver? Know your options (Managing Someone Else's Money)
11. Consumer Financial Protection Bureau, Know your financial adviser